Project Stakeholder & Procurement

- Concluding topics

Topic # 14

- Chapter 12, 13 – Schwalbe

Project Stakeholder Management Processes

- **Identifying stakeholders**: Identifying everyone involved in the project or affected by it, and determining the best ways to manage relationships with them.
- **Planning stakeholder management**: Determining strategies to effectively engage stakeholders
- **Managing stakeholder engagement**: Communicating and working with project stakeholders to satisfy their needs and expectations, resolving issues, and fostering engagement in project decisions and activities
- **Controlling stakeholder engagement**: Monitoring stakeholder relationships and adjusting plans and strategies for engaging stakeholders as needed

Identifying Stakeholders

- *Internal* project stakeholders generally include the project sponsor, project team, support staff, and internal customers for the project. Other internal stakeholders include top management, other functional managers, and other project managers because organizations have limited resources
- *External* project stakeholders include the project's customers (if they are external to the organization), competitors, suppliers, and other external groups that are potentially involved in the project or affected by it, such as government officials and concerned citizens.

Additional Stakeholders

- Other stakeholders:
  - Program director
  - Project manager's family
  - Labor unions
  - Potential customers
- It is also necessary to focus on stakeholders with the most direct ties to a project, for example only key suppliers

Stakeholder Register

- A stakeholder register includes basic information on stakeholders:
  - Identification information: The stakeholders' names, positions, locations, roles in the project, and contact information
  - Assessment information: The stakeholders' major requirements and expectations, potential influences, and phases of the project in which stakeholders have the most interest
  - Stakeholder classification: Is the stakeholder internal or external to the organization? Is the stakeholder a supporter of the project or resistant to it?

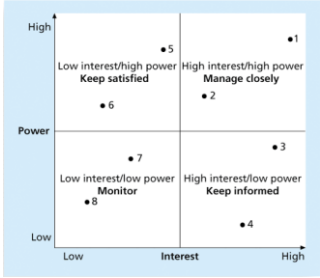
Sample Stakeholder Register

Name	Position	Internal/ External	Project Role	Contact Information
Stephen	VP of Operations	Internal	Project sponsor	stephen@globaloil.com
Betsy	CFO	Internal	Senior manager, approves funds	betsy@globaloil.com
Chien	CIO	Internal	Senior manager, PM's boss	chien@globaloil.com
Ryan	IT analyst	Internal	Team member	ryan@globaloil.com
Lori	Director, Accounting	Internal	Senior manager	lori@globaloil.com
Sanjay	Director, Refineries	Internal	Senior manager of largest refinery	sanjay@globaloil.com
Debra	Consultant	External	Project manager	debra@globaloil.com
Suppliers	Suppliers	External	Supply software	suppliers@gmail.com

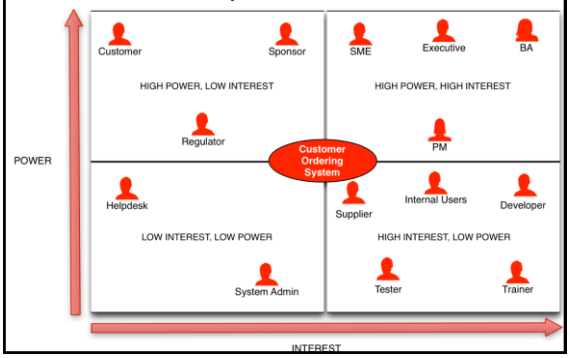
Classifying Stakeholders

- After identifying key project stakeholders, you can use different classification models to determine an approach for managing stakeholder relationships
- A **power/interest grid** can be used to group stakeholders based on their level of authority (power) and their level of concern (interest) for project outcomes

Power/Interest Grid



Power/ Interest Grid



Stakeholder Engagement Levels

- Unaware: Unaware of the project and its potential impacts on them
- Resistant: Aware of the project yet resistant to change
- Neutral: Aware of the project yet neither supportive nor resistant
- Supportive: Aware of the project and supportive of change
- Leading: Aware of the project

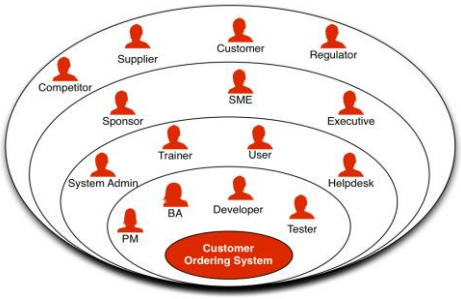
Stakeholder Onion Diagram

- To make stakeholder onion diagram, identify the different layers:
  - **Layer 1:** Stakeholders closely involved in the creation of the product, which could be a new system or a new process. Stakeholders may include the project manager, software developer, business analyst, etc
  - **Layer 2:** Stakeholders whose work changes when the solution is defined. For example, end users.
  - **Layer 3:** Sponsors, executives and subject matter experts who interact closely with the system
  - **Layer 4:** External Stakeholders such as customers, regulators, government, suppliers and the like.

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Stakeholder Onion Diagram



PMI Knowledge Area

Procurement Management

Importance of Project Procurement Management

- **Procurement** means acquiring goods and/or services from an outside source
  - Other terms include purchasing and outsourcing
- Experts predict that global spending on computer software and services will continue to grow

Why Outsource?

- To access skills and technologies
- To reduce both fixed and recurrent costs
- To allow the client organization to focus on its core business
- To provide flexibility
- To increase accountability

PM Network – Risks of Outsourcing

- Vendor Issues
  - Misunderstanding
  - Information Exchange
  - Schedule Overruns

Contracts

- A **contract** is a mutually binding agreement that obligates the seller to provide the specified products or services and obligates the buyer to pay for them
  - Contracts can clarify responsibilities and sharpen focus on key deliverables of a project
  - Because contracts are legally binding, there is more accountability for delivering the work as stated in the contract

Project Procurement Management Processes

- **Project procurement management**: Acquiring goods and services for a project from outside the performing organization
- Processes include:
  - **Planning procurement management**
  - **Conducting procurements**
  - **Controlling procurements**
  - **Closing procurements**

Planning Procurement Management

- Identifying which project needs can best be met by using products or services outside the organization
- Types of Contracts:
  - Fixed Price (or lump sum)
  - Cost Reimbursable
  - Time and Material
  - Unit Price

Contract Clauses

- Contracts should include specific clauses to take into account issues unique to the project
- Can require various educational or work experience for different pay rights
- Often includes:
  - **Termination clause**
  - **Limitation of liability clause**

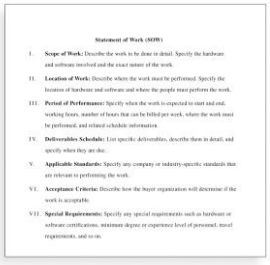
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Tools and Techniques for Planning Purchases and Acquisitions

- Expert judgment
- Market research
- **Make-or-buy analysis**: General management technique used to determine whether an organization should make or perform a particular product or service inside the organization or buy from someone else

Contract Statement of Work (SOW)

- A **statement of work** is a description of the work required for the procurement
  - If a SOW is used as part of a contract to describe only the work required for that particular contract, it is called a **contract statement of work**



Statement of Work (SOW)

I. **Scope of Work:** Describe the work to be done in detail. Specify the hardware and software involved and the exact nature of the work.

II. **Location of Work:** Describe where the work must be performed. Specify the location of hardware and software and where the people must perform the work.

III. **Period of Performance:** Specify when the work is expected to start and end, working hours, number of hours that can be billed per week, where the work must be performed, and related schedule information.

IV. **Deliverables Schedule:** List specific deliverables, describe them in detail, and specify when they are due.

V. **Applicable Standards:** Specify any company or industry-specific standards that are relevant to performing the work.

VI. **Acceptance Criteria:** Describe how the buyer organization will determine if the work is acceptable.

VII. **Special Requirements:** Specify any special requirements such as hardware or software certifications, minimum degree or experience level of personnel, travel requirements, and so on.

Procurement Documents

- **Request for Proposals**
  - **Proposal**
- **Requests for Quotes**
  - **Bid**

Source Selection Criteria

- It's important to prepare some form of evaluation criteria, preferably before issuing a formal RFP or RFQ
- Beware of proposals that look good on paper; be sure to evaluate factors, such as past performance and management approach

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Conducting Procurements

- Deciding whom to ask to do the work
- Sending appropriate documentation to potential
- sellers
- Obtaining proposals or bids
- Selecting a seller
- Awarding a contract

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Approaches for Procurement

- Organizations can advertise to procure goods and services in several ways:
  - Approaching the preferred vendor
  - Approaching several potential vendors
  - Advertising to anyone interested

		Proposal 1		Proposal 2		Proposal 3, etc.	
Criteria	**Weight**	**Rating**	**Score**	**Rating**	**Score**	**Rating**	**Score**
Technical approach	30%						
Management approach	30%						
Past performance	20%						
Price	20%						
Total score	**100%**						

Seller Selection

- Organizations often do an initial evaluation of all proposals and bids and then develop a short list of potential sellers for further evaluation

Controlling Procurements

- Ensures that the seller's performance meets contractual requirements
- Contracts are legal relationships, so it is important that legal and contracting professionals be involved in writing and administering contracts
- It is critical that project managers and team members watch for **constructive change orders**

Suggestions for Change Control in Contracts

- Evaluation of any change should include an impact analysis. How will the change affect the scope, time, cost, and quality of the goods or services being provided?
- Changes must be documented in writing. Project team members should also document all important meetings and telephone phone calls

Best Practice

- Accenture developed a list of best practices from experienced outsourcers throughout the world:
  1. Build in Broad Business Outcomes Early and Often
  2. Hire a Partner, Not Just a Provider
  3. It's More Than a Contract, It's a Business Relationship
  4. Leverage Gain-Sharing
  5. Use Active Governance
  6. Assign a Dedicated Executive
  7. Focus Relentlessly on Primary Objectives

Closing Procurements

- The project team should:
  - Determine if all work was completed correctly and satisfactorily
  - Update records to reflect final results
  - Archive information for future use
- The contract itself should include requirements for formal acceptance and closure

Tools to Assist in Contract Closure

- Procurement audits identify lessons learned in the procurement process
- Negotiated settlements help close contracts more smoothly
- A records management system provides the ability to easily organize, find, and archive procurement-related documents

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END OF TOPIC 14

-**COMING UP!!!!!!**
-**Concluding topics**
-**Semester Exam**
-**Project Submission & Demo**

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